

Financial Analysis for the MSS Project

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Inflation Rate	3.00%					
Cost of Capital (Interest Rate)	4.80%	Cost to the business of getting the loan				
Discount rate (Rate of Return)	7.80%					
Start Date	1/6/2026					
Project Completed at the	Year					
	0	1	2	3	Total	
ROM Costs/Expenditures	\$ 705,000	\$ 590,000	\$ 420,000	\$ 360,000	2,075,000	
Discount factor	1.00	0.93	0.86	0.80		
Discounted ROM Costs/Expenditures	\$ 705,000	\$ 548,700	\$ 361,200	\$ 288,000	1,902,900	
ROM Benefits/Revenues	\$ 256,000	\$ 815,000	\$ 1,120,000	\$ 1,331,000		
Discount factor	1.00	0.93	0.86	0.80		
Discounted ROM Benefits/Revenues	\$ 256,000	\$ 757,950	\$ 963,200	\$ 1,064,800	3,041,950	
Discounted benefits - costs	\$ (449,000)	\$ 209,250	\$ 602,000	\$ 776,800	1,139,050	← NPV
Cumulative benefits - costs	\$ (449,000)	\$ (239,750)	\$ 362,250	\$ 1,139,050		
Payback Period (Linear): 2.4 years			30 May 28			
ROI →	60%					